

basket of 16 currencies, the rouble rate continued to be administered.

That said, we live in a vastly different situation today. “The value of both rupee and rouble are market determined now,” says Indranil Pan, Chief Economist at YES Bank. “A huge diversion of India’s trade to Russia on the basis of a new rupee-rouble agreement seems a little farfetched.” He points to the difference in economic sizes as measured by GDP. India’s economy is many times larger than Russia’s (see *GDP Matters*).

Discussions on the new agreement are taking place in rather tumultuous times. A research note written in March by State Bank of India’s Chief Economist Soumyakanti Ghosh and his team identifies a few key factors. On top of the list is the uncertainty created by the continuing conflict, which can weaken the rupee’s value. A second factor, once the conflict in Ukraine wanes, is the inflation-attacking actions taken by central banks, led by the US Federal Reserve.

Ghosh expects the conflict to ‘drag on’ slowly for now. Statements by Russian generals and other members of President Vladimir Putin’s cabinet appear to suggest the same thing. No side is blinking first—at least, not yet. “That said, I don’t think there will be any immediate impact of the rupee-rouble agreement on the rupee’s value in the forex market,” says Ghosh. “It’s probably too early to say anything specific.”

## WAITING FOR GODOT?

Parthasarathi Mukherjee, former head and founding member of the treasury at Axis Bank—he left Axis to become managing director at Lakshmi Vilas Bank in 2016—thinks that historically, the terms of the bilateral agreements have not favoured Indian interests. “The challenge will be to make it as evenly balanced as possible,” he says. “Again, there are also operational questions. Public sector banking mergers are reducing the banks, so how will the government



**Even after the termination of the rupee-rouble agreement in 1992, it took Russia—the successor state to the USSR—more than 16 years to liquidate the rupee balances it held with the Reserve Bank of India**

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pick one for implementing purposes?” Even as he acknowledges that UCO Bank did that when India bought oil from Iran before sanctions were extended to oil, he thinks the Russian case will be more than a little complex.

On his part, Sen believes that the government will have to take the long view, rather than the short one: on just facilitating payments for example. “It has to be a carefully weighed decision that takes a number of factors into account that we hadn’t in the past,” he says.

“We also probably need alternatives to SWIFT,” Mukherjee says. “There are a few others like SFMS, or Structured Financial Messaging Solutions that we have been trying, but SWIFT has the first mover advantage and is favoured.”

Which raises another question that people have hinted at: is it time to sharply reduce the dollar’s dominance in global commodities’ contracts and as the unit of account and payment? There is a Chinese yuan oil contract, but there has been very little pickup thus far. Others might yet emerge.

In the mid-1960s, when India’s debt servicing and repayment obligations put the economy under severe stress, British and German officials considered accepting part of the payments in non-convertible rupees that they could use within India. They also believed that businessmen who feared losing India as a market for their products might consider accepting non-convertible rupees.

Official thinking in the West coalesced around political and ideological concerns; in 1962, some even considered a USSR-like arrangement that would sell India military hardware, accept payment in non-convertible rupees in part payment, and keep India aligned with the West. But nothing came of those ideas. Or history may have just replicated itself with different players, or even repeated itself. **BT**

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## BILLION

THE VALUE OF PHARMA PRODUCTS THAT RUSSIA IMPORTS EVERY YEAR



# \$600

## MILLION

OF THESE PHARMA IMPORTS BY RUSSIA ARE MET BY INDIAN PHARMA COMPANIES